

MAPSS AND COMPANY

CHARTERED ACCOUNTANTS

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Annexure A

Auditor's Report

Direct Market Access (DMA)

BSE Trading Member Code: 6529

BSE Trading Member Name: Findoc Investmart Pvt Ltd

Areas of Audit:

- | | |
|---------------------------------------|--------|
| • Risk Management: | Strong |
| • Security Policy and implementation: | Strong |
| • Capacity Management: | Strong |
| • Disaster Recovery and Backups: | Strong |
| • Vulnerability Test: | Strong |

Overall Rating: Strong

The detailed findings will be grouped under the above broad categories and classified as 'Strong', 'Medium' or 'Weak' and overall audit rating will be given.

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Controls / Processes	Test Case	Results, Observations & Control Risk	Auditor's Risk
Location Confirmation The installed DMA system features are as prescribed by the BSE. The installed ETI system parameters are as per BSE norms	Whether order routing server for DMA is located in India	Yes, in India.	Strong
	System network and Network Diagram	Complied	Strong
	Risk Management Tools Should allow for risk management of the orders placed and online risk monitoring of the orders being placed.	A pre-defined trading limit can be set for each client which performs the online risk assessment for each order	Strong
	DMA Version - Order Gateway Version - Risk Administration / Manager Version	1.0.0 1.0.0	Strong Strong
Trading Process The installed DMA system allows for placing of trades only for authorized clients Risk Management The installed DMA system is capable of assessing the risk of the client as soon as the order comes in and informs the client of acceptance/rejection of the order within a reasonable period. Order /Trade Limit Controls The installed DMA system provides a system based control facility on the trading limits of the clients and exposures taken by the clients including set pre-defined limits on the exposure	Client ID / User id Verification Only duly authorized client's orders are allowed to be placed.	Results Yes, only duly authorized client's orders are allowed to be placed through specific user-ids.	Strong
	Order Parameters based on the respective risk profile of the client There is online risk assessment of all orders placed through the DMA system with following checks:	A pre-defined trading limit can be set for each client in the software which performs the online risk assessment for each order. A provision exists to monitor all orders for the following parameters: Order Value per order	Strong
	Order Value per order should not exceed as specified in RMS (not exceeding the maximum limit as specified by Exchange)		Strong
	Order Quantity per order should not exceed as specified in RMS	Order Quantity per order.	Strong
	Spread order value and quantity limit per order should not exceed as specified in RMS.	Spread order value and quantity limit per order	Strong
	Cumulative value of all unexecuted / open orders should not exceed as specified in RMS at client level	Cumulative value of all unexecuted / open orders	Strong
	Order value limit at client level	Order value limit at client level	Strong
	Order value limit at branch level	Order value limit at branch level	Strong
	Security-wise order limits at client level	Security-wise order limits at client level	Strong
	Only orders that are within the parameters specified by the risk management systems are allowed to be placed.	Yes, the limits are fixed as such orders within the parameters only are allowed to be placed.	Strong
	Are there provisions for setting trading limits, exposure limits, position limits, order quantity limits order value limits, price range checks, Net Position limits for all DMA clients based on risk	Complied	Strong

Controls / Processes	Test Case	Results, Observations & Control Risk	Auditor's Risk
and turnover of each client. Order Reconfirmation Facility The installed DMA system provides for reconfirmation of orders which are larger than that as specified by the member's risk management system. Execution of Orders / Order Logic The installed DMA system provides a system based control facility over the order input process	assessment, credit quality and available margins of the client. Also appropriate limits for securities which are subject to FII limits as specified as RBI. The system has a manual override facility for allowing orders that do not fit the system based risk control parameters Order Numbering Methodology If the system is enabled for DMA the system has an internal unique order numbering system Order Matching The system does not have any order matching function resulting into cross trades of the clients orders of a trading member with each other. All orders are passed on to the exchange trading system for matching. .	Complied Yes, manual override facility is available. Yes internal unique order numbering system is there. Based on our limited testing performed during the audit we did not observe any internal matching within the system. All orders were sent to the exchange trading system for matching.	Strong Strong Strong Strong
Application Access Control The installed DMA system provides a system based access control over the DMA server as well as the risk management and front end dealing applications while providing for security Session Security The installed DMA system provides for session security for all sessions established with the DMA server by the front end application. Database Security The installed DMA system has sufficient controls over the access to and integrity of the database	Access controls - The system allows access to only authorized users - The system has appropriate authority levels to ensure that the limits can be setup only by persons authorized by the risk / compliance manager - The system has a password mechanism which restricts access to authenticate users. Session Security - The system uses session identification and authentication measures to restrict sessions to authorized user only. - The system uses session security measures like encryption to ensure confidentiality of sessions initiated. Database Security - The access to the DMA database is allowed only to	Results Yes, access is allowed only to authorized users through a password mechanism that authenticates each user having separate & unique user-id. Complied Complied Session identification is appropriate. It doesn't allow another session running simultaneously, and blocks the user who tries to open another session. System provides for encryption. The encryption mechanism could not be verified as it was hard coded into the application. We have relied on the certificate provided by vendor. Yes. Access to the database is allowed only to authorized users applications.	Opinions Strong Strong Strong Strong Strong Strong

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Controls / Processes	Test Case	Results, Observations & Control Risk	Auditor's Risk
Encryption The installed DMA system uses confidentiality protection measures to ensure session confidentiality.	authorized users / applications. - The DMA database is hosted on a secure platform. - The DMA database stores all the details of user ids activated for DMA along with user names and passwords securely. - Frequency of antivirus patch update. Session Encryption - The system uses session confidentiality protection mechanisms - The system uses a secure storage mechanism for storing of usernames and passwords. - The system adequately protects the confidentiality of the users' trade data.	Complied Complied Weekly basis Have antivirus on window server The system uses a secure storage mechanism in the form of encryption for storing of passwords. Complied	Strong Strong Strong Strong Strong
The installed DMA system provides a system based event logging and system monitoring facility which monitors and logs all activities / events arising from actions taken on the gateway / database server, authorized user terminal and transactions processed for clients or otherwise and the same is not susceptible to manipulation.	The installed DMA system has a provision for offline monitoring and risk management as per the requirements of BSE and includes reports / logs on - Number of Authorized Users - Activity logs - Systems logs - Number of active clients - Review of logs (activity/system/alert/incident)	Results Complied Complied Complied Complied Complied	Strong Strong Strong Strong Strong
The installed DMA system Authentication mechanism is as per the guidelines of the BSE	The installed DMA system's uses passwords for authentication. The password policy / standard are documented. The system requests for identification and new password before login into the system. The installed DMA system's Password features include - The Password is masked at the time of entry. - System mandated changing of password when the user logs in for the first time. - Automatic disablement of the user on entering erroneous password on three Consecutive occasions. - Automatic expiry of password on expiry of reasonable period of time as determined by member - System controls to ensure that the password is	Results Yes, Password and user management policy was observed. Complied The password policies have been verified: Complied Complied Complied Complied Complied	Strong Strong Strong Strong Strong Strong Strong

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	alphanumeric (preferably with one special character), instead of just being alphabets or just numerical. - System controls to ensure that the changed password cannot be the same as of the last password - System controls to ensure that the Login id of the user and password should not be the same. - System controls to ensure that the Password should be of reasonable minimum length (and no arbitrary maximum length cap or character class). - System controls to ensure that the Password is encrypted at members end so that employees of the member cannot view the same at any point of time. - System control ensures Re-initialization of access on entering fresh passwords	Complied Complied Complied Yes. Passwords are stored in encrypted format in the of memory files and also within the Database. Complied	Strong Strong Strong Strong Strong
The Installed DMA systems backup capability is adequate as per the requirements of the BSE for overcoming loss of product integrity.	Are backups of the following system generated files maintained as per the BSE guidelines? - At the DMA server/gateway level - Database - Audit Trails - Reports At the DMA user level - Market Watch - Logs - History - Reports - Audit Trails - Alert logs Are backup procedures documented? Are backup logs maintained? Have the backups been verified and tested? Are the backup media stored safely in line with the risk involved? Are there any recovery procedures and have the same been tested?	Results Complied Complied Complied Complied Complied Complied Complied Complied Written procedures exist for the backup and archival process. Complied Member has all procedures for taking backup and safe storage of the same. Complied	Opinions Strong Strong Strong Strong Strong Strong Strong Strong Strong Strong Strong Strong Strong

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The installed DMA system parameters are as per BSE norms	Gateway Parameters • Trader ID Market Segment • IP Address • (BSE Network) • VSAT ID • Leased Line ID	BSE CM - 712001003 BSE FO - 712001002 IP - 10.104.83.40	Strong
Trades Information The installed DMA system provides a system based control facility over the trade confirmation process	Trade Confirmation and Reporting Feature Should allow confirmation and reporting of the orders that have resulted in trade	Results Yes, Trade confirmation is displayed at the bottom of the screen.	Opinions Strong
Settlement of Trades The installed DMA system provides a system based reports on contracts, margin requirements, payment and delivery obligations	Margin Reports feature Should allow for the reporting of client wise / user wise margin requirements as well as payment and delivery obligations.	Complied	Strong
To ensure information security for the Organization in general and the installed DMA system in particular policy and procedures as per the BSE requirements must be established, implemented and maintained.	Systems & procedures: Whether installed systems & procedures are adequate to handle DMA orders/ trades? Maintenance of User details: Whether details of users activated for DMA facilities is maintained along with user name, unique identification of user, authorization levels. Does the organization's documented policy and procedures include the following policies and if so are they in line with the BSE requirements? • Information Security Policy • Password Policy • Network Security Policy • Application Software Policy • Backup Policy (data should be available for minimum 5 years) • Audit Trail Policy (data should be available for minimum 5 years) Whether all the documents are classified as per CIA (Confidentiality, Integrity and Availability) Does the organization follow any other policy or procedures or documented practices that are relevant?	Results Complied Complied Complied Complied Complied Complied Complied Complied Complied No	Opinions Strong Strong Strong Strong Strong Strong Strong Strong Strong
How will the organization assure customers prompt access to their funds and	System Failure Backup Are there suitable backups for failure of any of the critical system	Results Complied	Opinions Strong

Controls / Processes	Test Case	Results, Observations & Control Risk	Auditor's Risk
securities in the event the organization determines it is unable to continue its business in the primary location	components like - Gateway / Database Server / web server - ETI router - Network Switch	Complied	Strong
Firewall	Is a firewall implemented? Are all servers placed in a DMZ and segregated from other zones by using a firewall? Is there segregation between application and database servers? Are user and server zones segregated? Is specific port/service access granted on firewall by following a proper approval process?	Results Firewall is set in Broker's location to protect back office and trading set-up. Trading set up is isolated from internet and DMZ is not required. Complied Complied Complied	Strong Strong Strong Strong
Physical Security	Physical Access Control Server Room/Network Room Security (Environmental Controls) Server Room/Network Room Security (UPS) Server Room/Network Room Security (HVAC)	Results Complied Complied Complied	Strong Strong Strong Strong

Declaration:

There is no conflict of interest with respect to the member being audited and our directors / promoters are not directly or indirectly related to the current directors or promoters of the member being audited.

For MAPSS AND COMPANY

Chartered Accountants

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Dated: 20-05-2026

Place: Moradabad

Membership no: 402646

UDIN:26402646LASSGN8191

